

PAKISTAN

Consulting Services for Regional Infrastructure Fund for Khyber Pakhtunkhwa (RIF-II) for Resilient Resource Management in Cities

Quarterly Progress Report 02

Reporting period November 2024 – January 2025

Project Number: BMZ No. 2018 68 355 / KfW ID: 42975 Procurement Number 508317

Co-Financing: KfW Development Bank, Frankfurt/Germany

Client:

Planning and Development Department (P&DD)
of the Provincial Government of Khyber Pakhtunkhwa

Submitted by:

Dorsch Impact GmbH - NEC - CYNOSURE

**CYNOSURE**

As Sub-Consultant:



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List of Abbreviations

AC	Assistant Commissioner
AAC	Additional Assistant Commissioner
ADC	Additional Deputy Commissioner
AD	Assistant Director
AM	Accompanying Measure
CAPEX	Capital expenditures
CSO	Civil Society Organization
DC	Deputy Commissioner
DCC	District Coordination Committee
DEWATS	Decentralised Wastewater Treatment System
DPO	District Police Officer
DSP	Deputy Superintendent of Police
EPA	Environmental Protection Agency
EAD	Economic Affairs Division
ESIA	Environmental and Social Impact Assessment
ESHS	Environmental, Social and Health Safety
FGD	Focus Group Discussion
GI	Galvanized Iron
GIS	Geographic Information System
GPM	Gallons per Minute
GoKP	Government of Khyber Pakhtunkhwa
GoP	Government of Pakistan
IC	Implementation Consultants
KfW	German Development Bank
KP	Khyber Pakhtunkhwa
LG	Local Government
LGERDD	Local Government, Elections and Rural Development Department
M&E	Monitoring & Evaluation
MIS	Management Information System
MoU	Memorandum of Understanding
NC	Neighbourhood Council
NGO	Non-Governmental Organization
NOC	Non-Objection Certificate
OPEX	Operational expenditures
O&M	Operation and Maintenance
P&DD	Planning and Development Department
PC-I	Planning Commission Performa - I
PD	Project Director
PHED	Public Health Engineering Department
PKR	Pakistani Rupee
PM	Person Month
PMU	Project Management Unit
PRA	Participatory Rapid Appraisal
PSC	Project Steering Committee
RMO	Regional Municipality Officer
RMO	Regional Monitoring Officer, KfW
RRMiC	Resilient Resource Management in Cities
RRM	Resilient Resource Management

SDO	Sub-Divisional Officer
SLF	Sanitary Landfill
SOP	Standard Operation Procedure
SWM	Solid waste management
TMA	Tehsil Municipal Administration
TMO	Tehsil Municipal Officer
TOI	Tehsil Officer Infrastructure
TOR	Terms of References
UPU	Urban Policy Unit
VC	Village Council
WAPDA	Water & Power Development Authority
WHO	World Health Organisation
WSSC	Water and Sanitation Services Company
WWTP	Wastewater Treatment Plant
X-EN	Executive Engineer

KEY DATA

Project Name	Consulting Services for Regional Infrastructure Fund for Khyber Pakhtunkhwa (RIF-II) for Resilient Resource Management in Cities
Project Region	Pakistan, Khyber Pakhtunkhwa Districts D.I. Khan and Bannu
BMZ-No.	2018 68 355 KfW ID : 42975 Procurement Number 508317
Client/Project Executing Agency	Urban Planning Unit (UPU), Planning and Development Department (P&DD) of the Provincial Govern- ment of Khyber Pakhtunkhwa
Financing Institution	Kreditanstalt für Wiederaufbau (KfW)
Consultant	Consortium comprising: Dorsch Impact GmbH (lead), Germany, NEC Consultants (Pvt.) Limited, Pakistan, Cynosure Consultants (Pvt). Ltd., Pakistan Sub-consultant BORDA e.V, Germany
Essential Contractual Data	
IC Contract date	17/06/2024
IC Commencement date	01/08/2024
Expected completion date	30/06/2029 (with optional extension)
Elapsed time	3 months
Amount of Consulting Contract (€)	4,321,329 €
Invoiced Amount (€)	722.507,85 €
Total Programme Funds (€)	21.000.000 €

1. Executive Summary

The reporting period of Quarterly Report No.02 covers the activities performed from October 2024 until January 2025 corresponding to logistics and activities for the Inception Phase.

Progress monitoring of tasks from this reporting period

Table 1: Activity Progress Overview

Activities		Status	Progress (%)	Comment
1	Contacts with stakeholders.	Complete	100	
2	Kick-off workshops.	In progress	100	
3	Field based orientation visits with TMAs, PHED and NCs.	In progress	75	
4	Institutional assessment.	In progress	75	Draft report will be attached to QR3
5	Preparations for <i>mohalla</i> level base-line surveys.	In progress	5	
6	Pairing of experts, virtual meeting with national and international experts for physical site assessment.	In progress	25	
7	Mobilization of national experts for physical site assessment	In progress	50	
8	Drafting ToRs for hiring the civil society organisation.	Complete	75	
9	Administration and logistics, office and transport etc.	In progress	45	

Activities

Project Kick-off

The Kick-off workshop is a formal announcement for the commencement of Project activities, which includes all the stakeholders. the kick-off meeting for D.I. Khan was held on 20th, August 2024. A similar kick-off workshop was held on 8th, January 2025 in Bannu. Despite the administrative gap of the Project Director position being vacant, the Consultant Team proactively engaged with the Urban Planning Unit (UPU) to explore possibilities for obtaining an invitation letter. When these efforts proved unsuccessful, an internal consultation was held. It was collectively decided that the Consultant Team would prepare and distribute the invitations independently. These were hand-delivered to the participants. A copy of the letter is attached as Annex 1 as well as the list of invitees, attendees, and the meeting agenda are provided in Annexes 2, 3 and 4, respectively.

The participants were provided a detailed overview of the RIF-II Project, emphasizing its role as a Government of Khyber Pakhtunkhwa (GoKP) initiative, committed to supporting all stakeholders, line departments, and implementation partners from inception to completion. It was also highlighted that the primary challenge would be ensuring the timely and high-quality Project execution within its prescribed timeline. Additionally, the essential clauses of the project's financing agreement were elucidated.

Institutional assessment

To facilitate operational planning, the Consultant Team divided Bannu District into two clusters:

- **Cluster 3a:** Comprising Domel and Kakki, these tehsils are relatively accessible and present fewer security concerns.

- **Cluster 3b:** Comprising Bakka Khel and Sub-Division Wazir, these areas face significant security challenges.

The institutional assessment aimed to capture an accurate depiction of service delivery conditions, including the availability and functionality of community infrastructure (e.g., water supply, wastewater systems, and solid waste management). The role and capacity of the Public Health Engineering Department (PHED), Tehsil Municipal Administrations (TMAs), and other stakeholders were also evaluated.

This included:

- Assessment of service management capabilities and identification of operational gaps.
- Evaluation of the willingness of beneficiaries to participate.
- A capacity assessment of relevant staff in PHED, TMAs, the District Administration, and the Project Management Unit (PMU)/Urban Planning Unit (UPU).
- A conditionality survey on available tools and equipment (vehicles, waste trolleys, collection bins, etc.).

A survey tool was developed and pre-tested at TMA Paharpur in D.I. Khan. Based on initial feedback, the questionnaire was revised and subsequently deployed in the field. The findings from this assessment will be presented in the forthcoming Quarterly Report 3.

Preparations for Mohalla level base-line surveys

The baseline assessment is scheduled to begin after the completion of the physical assessment. The physical assessment will survey to identify the key areas of each sectors requiring intervention across different towns. Based on these findings, the targeted population will be determined.

A sample for the baseline survey will be selected from the targeted population using a multi-stage sampling approach at the Neighbourhood Council (NC), Tehsil, and district levels. This will ensure that data collection remains focused and efficient, engaging only with the intended ones, rather than the overall population. This approach will prevent unnecessary resource allocation and time loss, optimizing the survey process.

The physical assessment is planned for February, with the final report expected by end of March 2025¹. Following this, the baseline survey design will commence in March, and data collection is scheduled for April. However, the survey will only proceed once the proposed Civil Society Organizations (CSO) is actively involved. The CSO's role will be crucial in informing and mobilizing households before the survey begins. Additionally, their strong local presence will support data collection, facilitate smooth operations, and help address security concerns, ensuring the effectiveness of the survey.

Mobilization of national experts for physical site assessment, virtual meeting with national and international experts for physical site assessment

Efforts are underway to coordinate between national and international experts for the physical site assessment. To accommodate the Ramadan period in March, the primary assessment activities are scheduled for February.

The data collection strategy combines:

- On-site fieldwork in secure and accessible areas for primary data.
- Remote sensing and the use of satellite and secondary data for inaccessible locations.

¹ This year the holy month of Ramadan also coincides with the month of March. Hence, it is advisable to avoid any outdoor work due to non-availability of respondents.

Expert teams specializing in wastewater, solid waste management, and water supply have been mobilized and are coordinating to finalize survey instruments.

Drafting Terms of Reference (ToRs) for CSO Engagement

The P&DD shall contract one or two CSOs, particularly to support the achievement of Output C in cooperation with the Implementation Consultant (IC). The selected CSO(s) must be registered with the Economic Affairs Division (EAD) and hold a valid Memorandum of Understanding (MoU) from the EAD. The contracted CSO will report their work progress through the IC, who shall verify the progress and quality of CSO's contribution agreed in terms of references yet to be specified.

The ToRs for hiring the potential CSO are currently still being drafted.

Administration and Logistics

Securing suitable office and residential space in D.I. Khan has been challenging due to chronic infrastructure shortages and persistent security concerns. A viable location was eventually identified and leased in late September 2024, with occupation following necessary renovations by the end of October.

In Bannu, preparations are underway to establish a sub-office in a relatively secure area near the cantonment. Unlike D.I. Khan, Bannu offers more viable options for safe accommodation.

Transportation logistics have also been hindered. Planned procurement of two vehicles and a bulletproof SUV was delayed due to the absence of a Project Director to initiate procurement procedures. Additionally, an NOC from the federal government is required for the bulletproof SUV. In the interim, the Consultant Team is using locally hired vehicles with vetted drivers to mitigate risks².

Challenges encountered

- The project faces several significant challenges, primarily related to security, logistical constraints, and administrative hurdles.
- Security Concerns: The region is experiencing increasing insurgency and militancy, with frequent attacks, kidnappings, and roadblocks. Limited access to tehsils restricts project activities to only 44% of the target area.

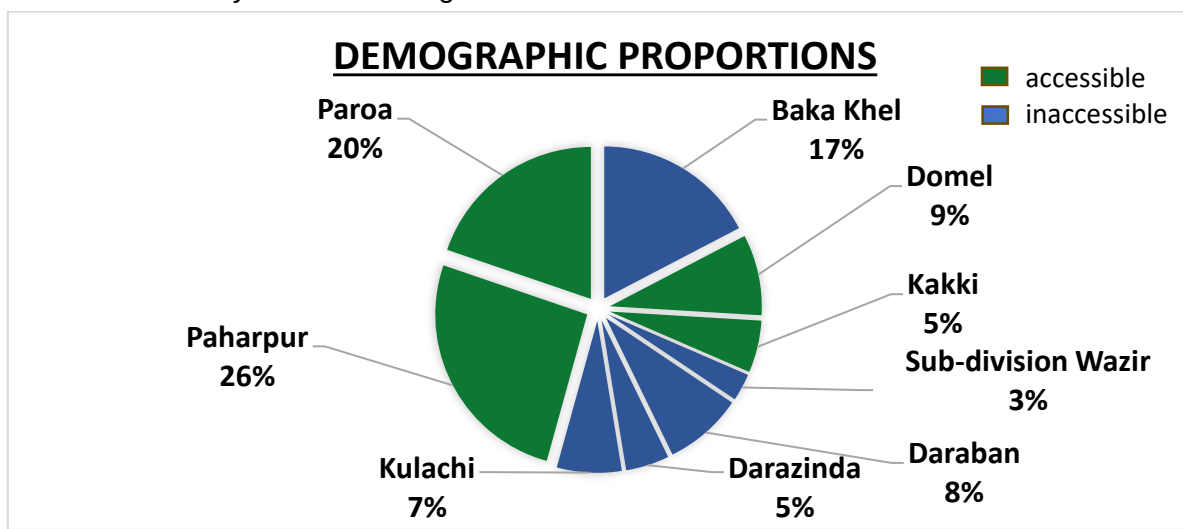


Figure 1: Accessible and Inaccessible Tehsils with demographic proportions

² Some incidents of kidnappings have been reported by travelling in the unknown and untrustworthy local transport.

- **Travel Restrictions:** Militants have been conducting unauthorized spot checks, leading to abductions and security threats. Authorities have imposed travel restrictions, further limiting movement, particularly for foreign funded development projects and government officials.
- **Lack of Project Transport:** Due to administrative delays and the absence of a PD, the project has not been able to procure its own vehicles, relying instead on rented transport with limited trusted drivers.
- **Potential Military Operations:** Reports suggest a large-scale military operation may be imminent, which could lead to retaliatory attacks on civilian infrastructure, causing further instability.
- **Leadership and Administrative Challenges:** Frequent changes in the PD position have resulted in a lack of leadership and ownership, affecting coordination with the GoKP and overall project implementation. The changes of the PD have stalled the formation of the PMU, affected project governance and delaying the disposition fund's operationalization.
- **Delayed Engagement of CSOs:** Due to leadership gaps, the hiring of a CSO has equally been delayed, limiting the project's ability to engage communities and conduct necessary assessments.
- **Restrictions on Foreign Visitors:** The GoKP has stopped issuing No Objection Certificates (NOCs) to foreign experts, affecting knowledge transfer, guidance and facilitation to the implementation team of Consultants.

Outlook – Activities for next reporting period

- **Institutional, Context, and Physical Assessments:** Due to security and administrative constraints, the team proceeded with Context and Institutional Assessment instead of the planned Physical Assessment. Instead of sitting ideal, the team made the best use of their time and resources. Fieldwork has commenced and is expected to conclude in first part of the next quarter, followed by data compilation and report preparation.
- **Coordination with Experts:** National and international experts have been grouped by specialization and provided with relevant guidelines. Given security restrictions, international experts will guide national experts remotely. National experts may also face challenges in accessing certain areas, requiring alternative remote methodologies.
- **Hiring of a CSO:** While government stakeholders are being engaged effectively, community involvement remains limited. The immediate hiring of a CSO is necessary to facilitate community engagement and enhance project participation.

These activities aim to mitigate delays, strengthen stakeholder collaboration, and ensure effective project implementation despite ongoing security and logistical challenges.

2. Project Background

The Regional Infrastructure Fund (RIF – II) Project was conceived under the broad umbrella of Resilient Resource Management in Cities (RRMiC). A pilot project of RRM, similar in its nature and objectives, had successfully been conducted in north-eastern part of Khyber Pakhtunkhwa (KP) Province, Mansehra District³. Hence, it was decided that an identical project of similar nature, but with much larger dimensions, be conducted in the south-western KP. It was in this perspective that RIF – II Project is being implemented in nine tehsil towns of Bannu and Dera Ismail Khan (D.I. Khan) districts.

Based on the Consultant's rich experience in Pakistan, specially based on assessment, planning and implementation of RRM Mansehra project, it has become evident, that the integration of the sectors of water supply, wastewater and solid waste management is essential for the proper functioning of the overall urban services system. Moreover, an integrated approach also means that government, stakeholders and social actors must be participants of the whole process (starting from assessment, planning, designing, implementation, until operation and maintenance). It also has to be ensured that leaders are empower and it also includes the vulnerable groups like women, whose capacities are strengthened and awareness raising has been done to an adequate level. For ensuring resilience and long-term sustainability, these conditionalities are inescapable requirements.

From the Consultant's perspective, Resilient Resource Management means to promote the conservation and sustainable water use to reduce water scarcity and resource depletion not only by reducing and treating wastewater, also minimizing water losses, promoting water reuse or increasing water storage, but also by increasing management, operation and maintenance efficiency by training PHED, TMAs, communities and other relevant departments. In addition, all the stakeholders have also to be educated, coached, groomed and sensitized by becoming part of these systems. Pakistan's limited drinking water sources, in general, and project corridor, in particular, are being heavily polluted by uncontrolled wastewater discharge, improper effluents handling and unsafe solid waste disposal. For this reason, the sustainable management of water resources can rarely be resolved through a single intervention or technology. It requires action at different scales and the integration of technologies in different sectors, ideally in the same spatial area. For example, by combining the construction of water supply systems and the promotion of water reuse and increase storage, with the treatment of wastewater and the reduction of solid waste to avoid water pollution could lead to a substantial reduction in the environmental, social, and economic impacts of drought in these regions, considering the current climatic scenario.

2.1. General

RIF – II Project is being implemented in two districts of south-western KP, Bannu and D.I.Khan. Except headquarter tehsils, the Project interventions will be conducted in nine peripheral tehsils. Details of the targeted tehsils, along with beneficiaries' statistics, are presented in the following matrix:

³ RRM Mansehra is in the final phase of its completion, likely to get closed by end June 2025.

Table 2: Targeted Tehsils

District	Tehsil Town	Potential No of Beneficiaries
Bannu	Baka Khel	256,818
	Domel	127,256
	Kakki	82,132
	Sub-division Wazir	43,114
Sub-total Bannu:		509,320
Dera Ismail Khan	Daraban	123,933
	Darazinda	68,556
	Kulachi	101,854
	Paharpur	383,984
	Paroa	292,466
Sub-total D.I. Khan:		970,793
Total Potential Beneficiaries:		1,480,113

2.2. Geographical Locations and Clustering

Headquarters of both the districts are widely apart, with a buffer zone of Lakki Marwat and Tank districts. Because of the hyper-security sensitivities, particularly in the buffer districts, there are travel restrictions. District administrations have notified that traveling is advised only in between sunrise to sunset. Unofficial curfew is imposed from sunset to sunrise⁴.

⁴ In Sep/Oct 2024, Bannu and Lakki Marwat districts police force went on strike and blocked the main Indus Highway for more than a week, which was followed by a number of protests for another 2 – 3 weeks.

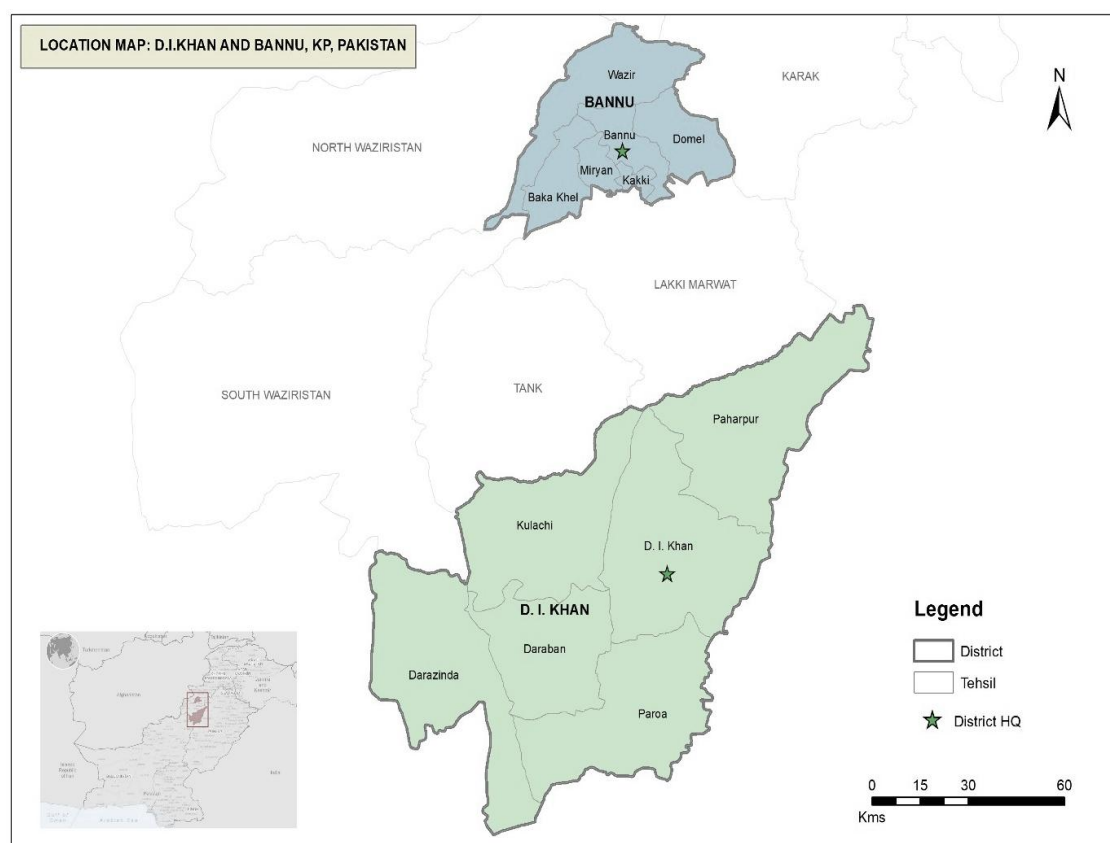


Figure 2: Bannu and D.I. Khan Districts

Table 3: Geographical Zones and Project Clusters

District	Cluster No.	Tehsil	NCs	VCs	Remarks
D.I. Khan	Cluster 1	Paharpur	4	41	
		Paroa	1	28	
	Cluster 2	Daraban	2	16	Inaccessible due to security sensitivities.
		Darazinda	1	11	
		Kulachi	6	11	
Bannu	Cluster 3a	Domel	0	14	
		Kakki	0	15	
	Cluster 3b	Baka Khel	0	13	Inaccessible due to security sensitivities.
		Sub-Division Wazir	0	6	

Because of administrative and security sensitivities, Bannu has also been sub-divided in two clusters, 3a and 3b, as indicated in the above table.

The five tehsils of D.I.Khan are integrated by tehsil towns and Neighbourhood Councils (NCs), which are considered urban areas. Nevertheless, in all the four tehsils of District Bannu there are no NCs and no urban areas. Hence, in the above table there are only counted village councils (VCs), which represent the rural areas.

The distinction amongst rural and urban characteristics of both the districts are being elaborated further through the following two bar-charts:

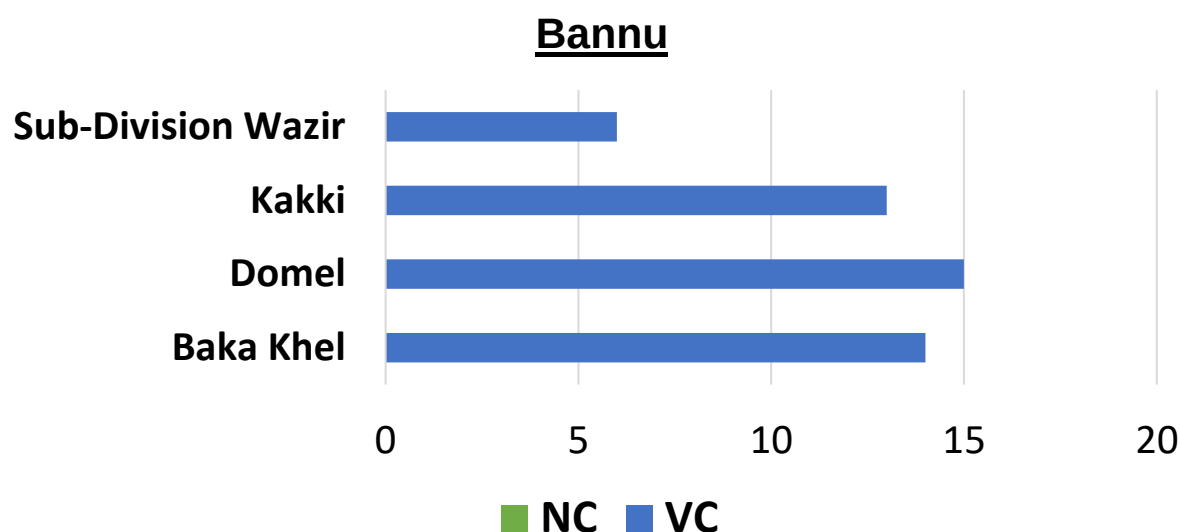


Figure 3: Accessible and Inaccessible Tehsils with demographic proportions

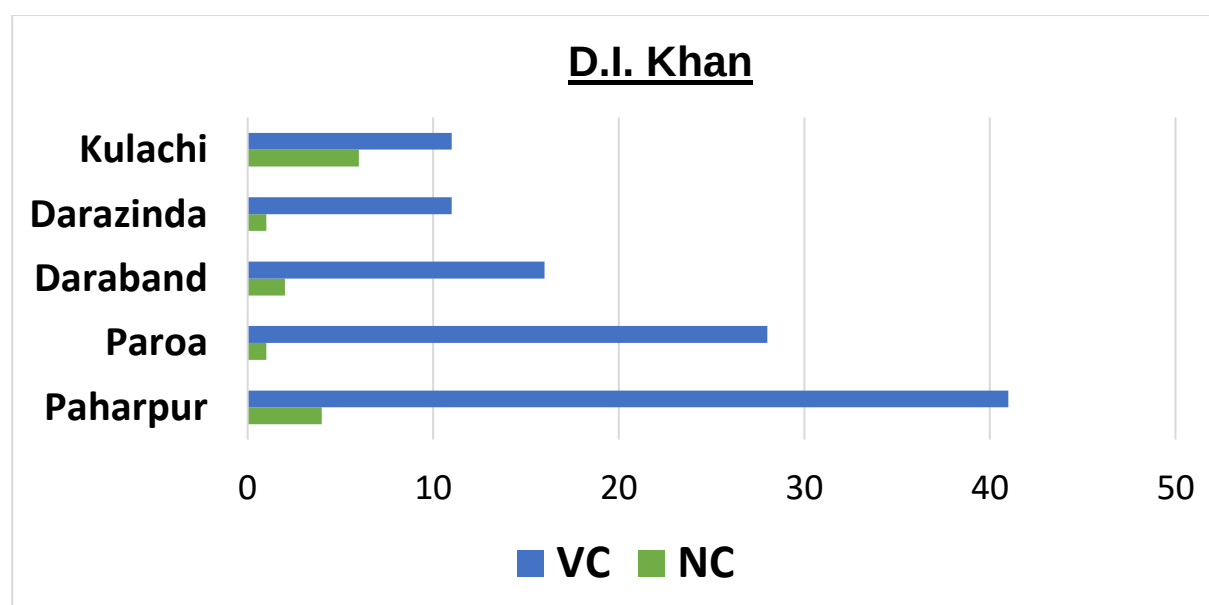


Figure 4: D.I. Khan District

2.3. Methodology

This section describes the methodology proposed by the IC to perform their services according to the Terms of Reference (ToRs) and the envisaged Scope of Works (SW). In order to complete this project in the allocated time, it is essential that respective tasks and activities are well planned and coordinated under a comprehensive approach and methodology at all levels to enable timely completion of the Project.

As per the TORs all selected community infrastructure schemes shall be further assessed to arrive at technical designs, Bill of Quantities, drawings, and a firm cost estimate with a realistically anticipated duration from start to completion laid down in a work plan for each selected

scheme. The IC will supervise construction works and supplies on behalf of the Urban Policy and Planning Unit (UPU), who remains the employers of construction companies and suppliers. These tasks include the site supervision of all works, the preparation of initial operation activities, a continuous monitoring, a periodic reporting, and the participation in the preliminary acceptance.

Following methodology will be adopted for the Implementation Phase:

Out of total project duration of 72 months, the first 09 months is the inception phase. During this period, the team of IC will mainly be conducting a number of surveys and other relevant studies, which would help in need identification.

- Physical context assessment
- Institutional and stakeholder's context assessment
- Development of action plans for each tehsil
- Base-line surveys on Mohalla level
- Social assessment: conflict-sensitive approach
- Development of communication and advocacy strategy, and quick wins
- Identification and prioritization of schemes
- Definition and implementation start of social mobilization strategy
- Development of monitoring Framework
- Development ESMF

Preparation of Base Maps:

The IC will create maps at various scales to document and analyse the complexity of existing conditions. These maps will help identify problems, hotspots, and opportunities for infrastructure implementation and future technical solutions. Initial mapping will focus on Tehsil towns, capturing general areas, town and neighbourhood structures, and natural resource patterns (e.g., rivers, springs). The process will begin with an overview of water supply, wastewater, and solid waste management infrastructure, gradually adding detail through assessments and mapping workshops. The maps will integrate with P&DD and UPU GIS databases, complement District Masterplans, and serve as a foundation for managing and monitoring infrastructure. They will also aid climate-resilient planning by identifying current infrastructure, potential sites for new schemes, and flood-risk areas to support Climate-Informed Urban Planning.

Baseline Surveys:

An integrated baseline survey is planned to gather essential baseline data aligned with project indicators and provide context-specific details for developing detailed designs. This survey will establish pre-project scenarios for each indicator and set benchmarks for measuring project effects and outcomes. The survey will use mixed methods to collect qualitative and quantitative data via household surveys conducted with a semi-structured online questionnaire created in KoBo Toolbox. Data will be gathered using tables for efficient field collection and centralized database analysis. Participatory Rural Appraisal (PRA) tools may also be employed for sectors like solid waste, wastewater, and water supply management. Enumerators, team supervisors, and support staff will receive training, and questionnaires will be field-tested to refine methods for administering Focus Group Discussions (FGDs). The survey will also include questions to inform awareness-raising activities, collecting baseline data on behaviours in pilot areas to design tailored campaigns for behavioural change.

Community Participation:

The IC will collaborate with relevant departments and NC/VC representatives to organize and communicate with households. A community activist from each project area will act as a local

resource person, supporting social mobilization teams alongside NC/VC representatives. Two local female social mobilization experts will ensure access to households and coordinate surveys. NC/VC representatives will be trained in survey methodology and field plans, contributing to their capacity-building efforts.

3. RIF II Result Matrix

RIF – II is passing through the identification and inception phase, which has a time budget of nine months. All other follow-up activities will be undertaken after the completion of inception of this phase. The Figure below outlines the three main project phases.

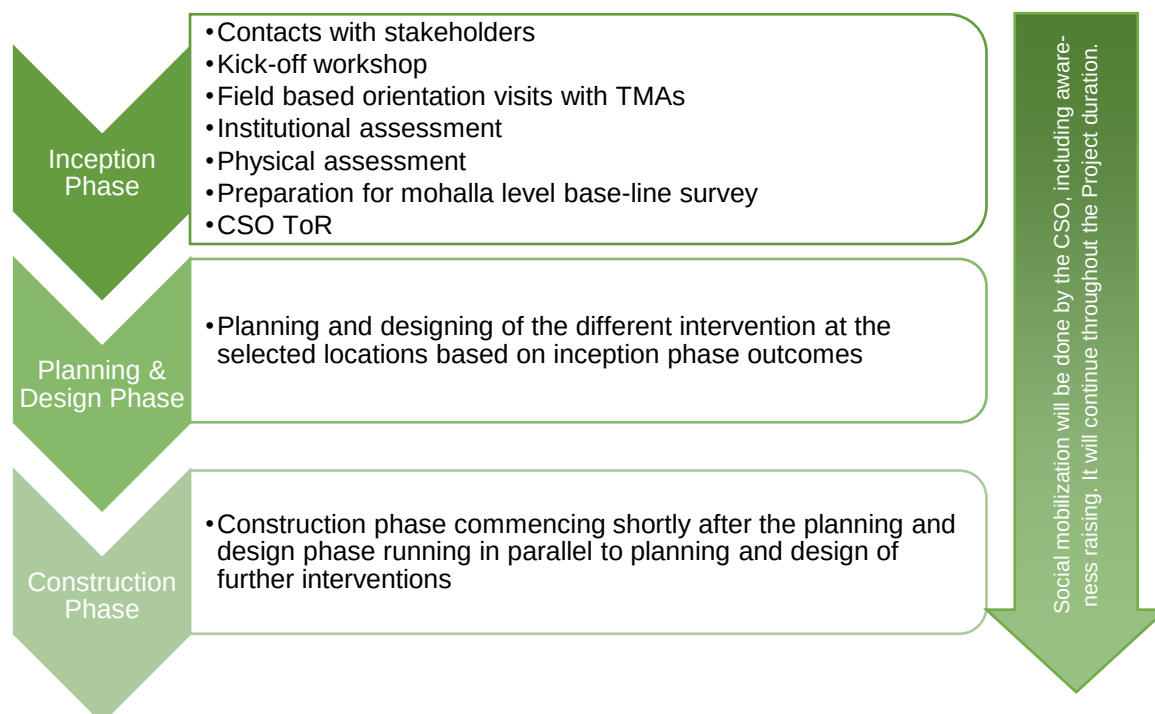


Figure 5: Project Phases

3.1. Overall Output Progress

The overall progress, in terms of percentage (%), for the reported period is being presented in the following matrix:

Table 4: Activity Progress Inception Phase

	Activity Description	Percentage (%)	Remarks
1	Contacts with stakeholders.	100	
2	Kick-off workshop.	100	
3	Field based orientation visits with TMAs, PHED and NCs.	44	
4	Institutional assessment.	75	Report is under preparation
5	Preparations for <i>mohalla</i> level base-line surveys.	5	
6	Pairing of experts, virtual meeting with national and international experts for physical site assessment.	25	
7	Mobilization of national experts for physical site assessment	25	
8	Drafting ToRs for hiring the civil society organisation.	75	
9	Administration and logistics, office and transport etc.	45	

3.2. Progress per Activity

3.2.1. Activity Progress A

Table 5: Output A progress, until January 2025

	Activities Output A	Status (performed activities November 2024 – January 2025)	Overall Progress Including previous activities
1	Output A: Showcase community infrastructure addressing water supply, affluent and solid waste have been identified, designed, and built.		
1.1	Carry out relevant situation analysis and baseline studies for the Tehsil towns with respect to available facilities and resources regarding water supply and the management of affluent (sanitation) and solid waste through the ICs assigned to the project.	- Institutional and stakeholder's context assessment data enumeration and analysis completed, report writing in progress (99%) - Planning for physical context assessment is completed, assessment yet not started but will take place for two weeks in February (25%) - Brainstorming session with M&E/MIS experts and staff focused on assessing security risks for safe baseline data collection carried out. - Baseline design and questionnaire development are planned for the next quarter. (1%) - Social assessment will follow a conflict-sensitive approach to align with local dynamics. (Not started yet) (0%) - Development of communication and advocacy strategy, and quick wins (Not started yet) (0%) - Identification and prioritization of schemes (Not started yet) (0%)	50%
1.2	Conduct the mapping of each Tehsil town showing water sources and potential land for wastewater treatment and landfill sites for solid waste management and waste recycling.	- Coordination amongst GIS, MIS and M&E experts. - GIS expert started working on maps.	25%
1.3	Rehabilitate and complete selected drainage systems to allow for water treatment.	Not yet started	0%
1.4	Rehabilitate selected surface water treatment plants with a special emphasis on appropriate process technologies and protection from solid waste and other pollution.	Not yet started	0%
1.5	Identify the potential for improving selected facilities or suggest replacing facilities regarding water supply/discharge/treatment and solid waste	Not yet started	0%

	Activities Output A	Status (performed activities November 2024 – January 2025)	Overall Progress Including previous activities
	management		
1.6	Develop and assess the availability of water sources (spring, surface, ground water) for sustainable utilization through appropriate technologies in combination with recommendations to preserve natural resources.	Not yet started	0%
1.7	Promote the separation of solid waste on household level, waste collection, waste treatment (recycling by manual sorting), composting and sanitary landfill (deposition of rejects and residual waste).	Not yet started	0%

3.2.2. Activity Progress B

Table 6: Output B progress, until January 2025

	Activities Output B	Status (performed activities August 2024 – October 2024)	Overall Progress Including previous activities
2	Output B: The relevant staff of concerned departments at the provincial, district, and tehsil level have been supported to increase their capacity (resources and competence) for integrated and coordinated planning.		
2.1	Support the UPU of KP in the realization of selected results from the Master Planning for Bannu and DI Khan	Not yet started	0%
2.2	Develop practise-oriented skills development schemes regarding water and solid waste management	Not yet started	0%
2.3	Advise on the purchase of equipment feasible to address water and solid waste management in Tehsil towns of Bannu and D.I. Khan	Not yet started	0%
2.4	Develop training material and practical trainings on environment protection	Not yet started	0%

3.2.3. Activity Progress C

Table 7: Output C progress, until January 2025

	Activities Output C	Status (performed activities August 2024 – October 2024)	Overall Progress Including previous activities
3	Output C: Citizen-state dialogue formats have been initiated to offer opportunities for citizen participation in the selection, realization, and maintenance of community infrastructure schemes.		
3.1	Identify legitimized community representatives reflecting the Tehsil town's composition in terms of social strata, age, and gender.	Not yet started	0%
3.2	Facilitate the involvement of identified community representatives in scheme selection (Activity A).	Not yet started	0%
3.3	Identify community contributions with the community representatives for the realization and maintenance of schemes supported by the project (Activity A).	Not yet started	0%
3.4	Train the communities in sustainable utilization of community infrastructure, natural resources, and the handling of waste.	Not yet started	0%
3.5	Identify additional efforts of the Tehsil towns by the IC and finance through the project.	Not yet started	0%

4. Project Implementation

4.1. Project Inception Phase

Since the project commenced on 1st August 2024 in the designated districts the inception phase is in progress with the institutional assessment being finalized and the physical assessment being planned.

Proposed outputs to be integral part of the Inception Report:

- **Context assessment report:** containing the analysis of the technical data collection, current situation, problematic, potential areas of intervention and list of priority schemes.
- **Institutional and social assessment report:** containing the analysis of the stakeholder's data to define social mobilization strategies, capacity development needs, documentation of current available equipment and resources to take into consideration for the design of measures, identification of focal persons, identification and assessment of risks for definition of mitigation measures, etc.
- **Situation maps** for all the nine tehsils.
- **Baseline report:** containing the results from the household surveys for the definition of benchmarks to measure the project objectives and indicators. Second, the analysis of the current household and community behaviour to address during awareness raising activities/ campaign, and lastly, additional technical data on water supply, wastewater management and solid waste management necessary for the selection of schemes, and the planning of technical studies and designs – once selected and approved.

4.2. Kick-off Workshop Bannu

After the first kick-off workshop in D.I. Khan a similar one was planned at Bannu. But, due to security reasons, it had to be postponed several times and took place on 8th January 2025 for the formal inauguration of the RIF – II project in the second project area. The introduction cum invitation letter is attached as [Annex 1](#).

The planned schedule of meeting, list of invitees and attendees and are attached as [Annex 2](#), [Annex 3](#) and [Annex 4](#), respectively.

Representatives from KfW Ms. Nora Götzinger-Henschke, Portfolio Manager Afghanistan, Pakistan and Iraq, and Dorsch Impact (DI), Mr. Ulrich Sammet, also joined the meeting through virtual links. Both are based in Germany.

Due to various contributing factors, including the dominant aspect of security, the proceedings took a delayed start. After a self-introduction of all the participants, the audience were briefed about various features of RIF – II Project.

An overview of the RIF-II Project was provided, emphasizing its role as a GoKP initiative, committed to supporting all stakeholders, line departments, and implementation partners from inception to completion.

Key aspects of the project discussed in detail included:

- Project area demographics, including population and household statistics.
- Geographical scope of the project, encompassing nine tehsils across the two target districts.
- Current status and capacity limitations of Tehsil Municipal Administrations (TMAs) and gaps in municipal service coverage.

- Proposed interventions under RIF-II and its various components.
- Implementation strategy.
- Structure and composition of the Project Steering Committee (PSC) at the provincial level.
- Structure and composition of the District Coordination Committee (DCC) for each district.
- Organizational framework of the Project Management Unit (PMU).

The PD-Dorsch Impact, who outlined the project's objectives. He detailed the plans to be developed in initial nine months. Those will be executed over the subsequent sixty-three months. His presentation covered several key topics, including:

- Objectives of RIF-II, its three key outputs, and corresponding indicators for measuring the Project success.
- Various project phases spanning over six years (72 months), each detailed accordingly.
- The geographical coverage of the project, including tehsil-wise population statistics.
- An outline of the relevant line departments and stakeholders.
- An in-depth discussion on the project implementation strategy, encompassing the planning, design, execution, and operation and maintenance phases.
- A detailed outline of next steps to be undertaken systematically to achieve project completion.
- The overall objectives of the project and its contribution to advancing sustainable development goals.
- An overview of the project landscape, including the executing agency, funding sources and implementation consultants.
- Brief introduction of consortium partners.
- Supporting documentation, including some visuals of community participation and two brief audio-visual clips from the pilot phase of RRM Mansehra, were also presented for reference. The video clips had a motivational impact on the audience.

The briefing was delivered through a Power Point presentation, which was received with keen interests by the attendees. Selected photographs from the kick-off workshop are attached as [Annex 5](#).

A question-and-answer session followed, where participants expressed high levels of engagement by raising various queries. These were addressed by the team of IC. Details of this discussion are presented in [Annex 6](#).

The KfW official expressed her gratitude to all participants for their active engagement and valuable contributions during the meeting. She greatly appreciated their participation, discussions and significant input in enhancing collective understanding. She recognized that the insights and suggestions shared will be instrumental in determining the next steps. She urged everyone to maintain their involvement as their perspectives are vital for making informed and effective decisions. As a gesture of appreciation, she thanked the participants for their dedication and commitment.

In his concluding address, AC-Bannu extended his heartfelt gratitude to all participants on behalf of the district administration. He underscored the significance of the project, recognizing it as a transformative initiative for the region and a milestone in large-scale development efforts. He reaffirmed his unwavering commitment to supporting and facilitating the project team throughout its implementation. Furthermore, he encouraged all relevant departments to foster

close collaboration with the project team, ensuring a seamless execution of activities. He assured all stakeholders of his administration's readiness to provide the necessary coordination and assistance, reinforcing a collective approach toward the successful realization of project objectives.

4.3. Field Visits

A number of field activities had been conducted during the period under this report. Salient details of the same are being presented below in a sequential order:

- Institutional assessment has been the most significant engagement. After pre-testing and finalising the questionnaire, all the nine TMAs and two PHED offices in both the districts were visited for obtaining the required information.
- Dorsch Impact (DI) PD, Mr. Ulrich Sammet, visited Islamabad (17 – 25 November 2024). During his stay a number of RIF – II related matters were discussed, including readjustment of inception phase work plan.
- Bannu was visited for establishing contacts with various stakeholders, i.e. Deputy Commissioner (DC), Assistant Commissioner (AC), District Police Officer (DPO), PHED, RMO, all the four TMAs, Assistant Director (AD) Local Government, Elections and Rural Development Department (LGERDD), Water Supply, Sanitation Company (WSSC) and others.
- The Project corridor was visited by Management Information System (MIS), Monitoring and Evaluation (M&E) and Solid Waste Management (SWM) experts. They were facilitated to visit the accessible TMAs and others. At the same time the ICs held meetings with them and held detailed discussions vis-a-vis their respective expertise.
- For the physical site assessment and verification, an exercise was made for pairing of national and international experts, as per the three disciplines of (i) water supply, (ii) waste water management and (iii) solid waste management.
- After an excessive delay due to security reasons, kick-off meeting was held at Bannu on 08 January 2025.
- On 28 January 2025, Team Leader (TL) RIF – II visited P&DD Peshawar for giving a presentation to the Executive Director UPU. Main features of the presentation were the status of inception phase and the reasons for the delay.

4.4. Consultant Team (DI) and PD Visit to Islamabad

The Dorsch Impact (DI) PD, Mr. Ulrich Sammet, visited Islamabad (22 – 23 January 2025), along with Chief Accountant, Ms. Aigul Beishekeeva. RIF – II team apprised the visitors about the overall scenario, including their salient achievements as well as the limitations, the impediments and the future plans. One of the most crucial issue had been the delay about the physical site assessments. The PD was informed about the significant progress regarding the physical assessment questionnaire, which is planned for February 2025.

A number of financial matters were also discussed with the Chief Accountant and her advice was sought about the accounts matters.

4.5. PD and PMU

On 13 January 2025 a permanent PD, Mr. Muhammad Saleh, was appointed for RIF – II Project. His notification is attached as Annex 8.

The newly appointed PD took an advantage of Mr. Sammet's and Ms. Aigul Beishekeeva, presence and requested for a meeting along with his team, which was held on 24 January 2025. A variety of project related matters were discussed, which pertained to accounts, administrative, managerial and program related matters. Minutes of the meeting are attached as Annex 9.

4.6. Stakeholders Contacts – Preliminary Feedback

Like D.I. Khan, following key stakeholders were contacted at Bannu.

- District Administration
 - Deputy Commissioner (DC)
 - District Police Officer (DPO)
 - Assistant Commissioners (ACs)
 - Deputy Superintendents of Police (DSPs)
- Public Health Engineering Department (PHED)
 - Superintending Engineer (SE)
 - Executive Engineer (XEN)
 - Sub-Divisional Officers (SDOs)
- Local Government Elections and Rural Development Department (LGERDD)
 - Regional Municipal Officer (RMO)
 - Tehsil Municipal Administration (TMA)
 - AD LGERDD
 - **Water and Sanitation Services Company (WSSC)**

4.7. TORs for Civil Society Organization

The P&DD shall contract one or two CSOs, particularly to support the achievement of Output C in cooperation with the IC. The selected CSO(s) must be registered with the Economic Affairs Division (EAD) and hold a valid Memorandum of Understanding (MoU) from the EAD. The contracted CSO will report their work progress through the IC, who shall verify the progress and quality of CSO's contribution agreed in terms of references yet to be specified. The ToR were drafted by the IC and are currently under revision within the team and will be shared in the coming weeks with the PMU and KfW.

4.8. Context and Institutional Assessment

To facilitate effective project implementation, the Consultants have categorized both the districts into accessible and inaccessible tehsils, as described in Table 3 (Geographical Zones and Project Clusters). It is done so as per the varying security risks. The full institutional assessment report will be attached to the next quarterly report.

Key features of this study are summarised below:

- It provides an understanding of the prevailing conditions in the project area, evaluating community infrastructures, the role of PHED and TMAs in service management, identifying the gaps and assessing beneficiaries' willingness to participate in the project.
- It further assesses the capacity of personnel within PHED, TMAs, district administration, and the PMU/UPU.
- It also did a conditionality survey of TMAs' tools and equipment—including vehicles, solid waste management trolleys, collection bins, and other machinery to identify deficiencies and propose appropriate mitigation measures.
- For achieving these objectives, a questionnaire was developed and pre-tested (see Annex 7 for full questionnaire). Following necessary modifications, the team proceeded with the fieldwork in both the districts.

4.9. Administration and Logistics

4.9.1. Logistics

For the functionality of office, following logistical improvements have been made during the reported quarter:

- Office furniture and printer.
- Multi-media projector and allied equipment.
- Standby generator.
- Augmenting office security with razor-wire, CCTV and security lights etc.

4.9.2. Project Transport

Under the RIF-II framework, plans were in place to procure two vehicles (Toyota Corolla cars) and one bulletproof armoured SUV for the transportation of foreign visitors. However, due to the absence of the PD—the requisite procedural formalities were not completed, resulting in a delay of this procurement. This has created logistical challenges for routine travel within and beyond the project corridor.

Furthermore, the procurement of a bulletproof SUV necessitates an NOC from the federal government, a process that must be initiated by the PMU. In the interim, the Consultants have been reliant on locally hired transport services. However, given the prevailing security conditions, only trusted and vetted drivers can be engaged, further constraining mobility and operational efficiency⁵.

⁵ Some incidents of kidnappings have been reported by travelling in the unknown and untrustworthy local transport.

5. Financial Information

5.1. Consultancy Budget

Table 8: Consultancy Budget

Description	Invoice Number	Date of Invoice	Date of Payment	Total payment received 31.12.2024
Quarterly payments				
Advance payment	7.01.4948 / 1	30.10.2024	27.11.2024	648 199.35
Quarterly instalment	7.01.4948 / 2	27.11.2024	03.12.2024	74 308.50
Total Lump sum payments				
Reimbursable payments				
None yet				
Total Reimbursable payments				
Reimbursable (still open)				

5.2. Reimbursables

No reimburbables until 31.01.2025.

Table 9: Reimbursables

Summary of Expenses - Reimbursable (February 2021 - Sep 2024) Invoiced to KfW					
Budget line	Description	Original Budget EUR	Budget Spent in PKR	Budget Spent in EUR	Balance EUR
Total					

5.3. Disposition Fund

The Disposition Fund as of 31.01.2025 is no active yet due to the delays with the PD and PMU.

Table 10: Disposition Fund

	Total Budget	Budget (EUR)	Expenditures (EUR)	Remaining (EUR)
Budget line				
None yet				
Total				

5.5. Disbursement and Procurement

No disbursement and procurement have been executed in this reporting period.

Table 11: Overall Disbursement by the end of the reporting period

Summary of Disbursements (February 2021 - Sep 2024) Invoiced to KfW					
Budget line	Description	Original Budget EUR	Budget Spent in PKR	Budget Spent in EUR	Balance EUR
None yet					
Total					

The forecast of disbursements for the next reporting period(s), including estimated timing and amounts of disbursement requests, as well as a preview of the payment schedule until the end of the project.

Table 12: Forecast of Disbursements

Summary of Disbursements (February 2021 - Sep 2024) Invoiced to KfW					
Budget line	Description	Original Budget EUR	Budget Spent in PKR	Budget Spent in EUR	Balance EUR
None yet					
Total					

The table below outlines the total volume, remaining funds, state of disbursements, and required funds for the next reporting period.

Table 13: Forecast of Finances

Description	Amount EUR
Total Project Volume	21 000 000
Amount of Consulting Contract	4 321 329
Invoiced Amount	722 507.85
Disbursement	
Total Disbursed	0
Remaining Funds	20 277 492.15
Forecast	
Required for Next Period	

6. ESHS Performance

Due to a number of constraints, impediments, hurdles and other difficulties, no progress has been made on this important aspect of Environmental, Social, Health and Safety (ESHS). As per inception phase work plan, this activity will be undertaken after having completed the physical assessment and identification and prioritization of schemes.

However, the national consultants for physical assessment, identification and prioritization schemes have been mobilized for orientating themselves with the project corridor. The internationals have not been mobilized due to security sensitivities. It is expected that fieldwork in both the districts will be undertaken in February 2025, well before setting of Ramadan. Being a desk job, report writing will be completed and delivered by end of March 2025, followed by identification, selection and prioritization of infrastructural schemes.

It is only at this stage that ESHS team will be mobilized for performing their role, well before the construction work execution.

7. Quality Management

The Consultants and their partners are conscious of applying a process-oriented quality management system characterized by standardized processes, that will serve as a universal guide throughout all project phases, ensuring the delivery of results and outcomes as outlined in the Technical Proposal. Additionally, it provides appropriate home office support and backstopping while addressing emerging challenges in a timely, professional, and suitable manner.

We consider the performance of our experts, transparent information flow, efficient utilization of the project budget, and adequate security measures as critical factors for the successful Project implementation.

However, quality management aspects are more relevant to the design and physical implementation stage of the Project. Hence, as yet not much has been contributed to quality management.

8. Challenges

8.1. Security

During the course of various project related activities, negative population growth has been reported from the peripheral tehsils, which is against the national statistics. After discussion with some experts, it is commonly believed that such trends are due to out-migrations.

The reported period witnessed a resurgence of militancy in D.I. Khan, Bannu, North and South Waziristan, with a clear emphasis on targeting security forces and state employees. While security forces operations succeeded in neutralizing high-value insurgents, insurgents demonstrated the ability to launch coordinated attacks, especially in the project corridor and adjoining areas. The rise in suicide bombings, ambushed, roadside improvised explosive devices and targeted assassinations suggests that militancy is evolving, requiring enhanced intelligence-sharing and counterterrorism measures to curb further escalation.

- Cases of abductions for ransom, car snatchings and lootings have increased.
- A coach of power generation company at Chashma, carrying 17 workers, has been kidnapped.
- Target killings of security forces and police persons, even on leave.
- In some remote valleys, cases of air strike have also been reported.
- Looting and plunderings on the outskirts of Bannu and D.I. Khan cities have increased by manyfolds.
- Gradually, the jungle war is turning into urban guerrilla warfare, which has created a fear in common masses.
- D.I. Khan – Zhob road, the only communication artery between KP and Baluchistan provinces, stands closed.
- Some government officials, travelling from Quetta to Islamabad, have been kidnaped and their vehicles have been burnt.
- Some mosques and religious seminaries have been attacked.

In general, the overall causality figures can be summarised in the following table:

Table 14: Human Losses and Injuries

Category	Killed	Injured
Insurgents / Militants	66+	Unknown
Security forces	24	15+
Civil population	8	6+
Total	98+	21+

Table 15: Accessible and Inaccessible Tehsils

District	Accessible	Inaccessible
Bannu	Domel	Baka Khel
	Kakki	Sub-division Wazir
D.I. Khan	Paharpur	Daraban
	Paroa	Darazinda
		Kulachi
Total:	04	05

8.2. Road Travel Conditions

Since last quarter (August – October 2024), general conditions for road travel did not display any reportable improvements. The 100 km stretch of M-14 (Islamabad – DI Khan motorway), falling in KP remains to be a “no-go” area. During recent times, district administration has revived their advisory for avoiding this section of the motorway. A dusk-to-dawn travel restriction has been imposed, particularly for the government officials. As an alternative, the team of ICs continue to travel via Paharpur, Chashma Barrage, Mianwali, and Daud Khel to connect to the motorway. Relatively, it a safe route but consumes more time.

Followings had been the most common targets of the militants:

- Security agencies, including police and paramilitary.
- In recent days, even the security persons coming home on leave have also been attacked and killed.
- Government officials and employees of any category.
- Foreigners, irrespective of their nationality.
- Workers of foreign funded projects, development workers and NGOs staff.

Due to administrative delays and the absence of a designated Project Director (PD), the project has not yet been able to procure its own vehicles. Currently, the team relies on rented transport, operated by a limited number of trusted drivers. This dependency poses logistical and security-related challenges, particularly in high-risk areas.

8.3. Potential Military Operations

A large-scale military operation in the region stands initiated. Civilian unrest has also been reported, largely due to prevailing uncertainty, fear, and political instability following the general elections of February 2024. This unrest has been further exploited by militant groups, who have increased both the frequency and severity of their attacks, with an ever more brutality and ferocity.

If a military operation is launched, experience suggests that militant retaliation is likely. Historically, insurgents have targeted soft civilian locations, such as schools, hospitals, bus stops, and other areas of mass congregation.

8.4. Project Leadership and Administration

Towards the end of this quarter a new full time PD had been appointed for RIF – II Project, who is struggling hard to settle down and get in command. The previous PDs were appointed on an ad-hoc basis who could not devote full time attention.

As a result, the project has lacked both leadership and ownership, operating without a structured connection to the GoKP. The absence of a PD had hindered coordination and decision-making processes.

The Project is likely to continue its challenges till a fully functional PMU has been established. Consequently, there is no dedicated structure to guide and facilitate project implementation in alignment with its objectives. A similar delay has been observed in operationalizing the disposition fund, further affecting project activities.

8.5. Restrictions on Foreign Visitors

Since September/October 2024, restrictions on issuance of No Objection Certificates (NOCs) to foreign visitors by the GoKP has not been lifted due to rising militancy and security concerns.

Hence, a number of international experts, whose contributions could have been valuable, are unable to visit the project area. The lead consultants, Dorsch Impacts, are also unable to conduct on-ground assessments. Although virtual meetings are being used as an interim solution, they cannot fully substitute for in-person engagements.

8.6. Political Influences

D.I. Khan is currently one of the most politically volatile districts in Pakistan. The region is home to both the Governor of Khyber Pakhtunkhwa and the Chief Minister, who belong to opposing political parties. Additionally, another influential political figure from a prominent politico-religious faction resides in the district. This political landscape has resulted in a deeply divided society, with various factions frequently engaging in confrontations, sometimes involving armed conflict.

During field visits, the project team has encountered politically charged groups. In certain instances, the team had to clarify project objectives to avoid political interference. Given the political climate, multiple factions seek to associate themselves with the project for political gain, making it challenging to maintain neutrality.

9. Risk Assessment and Prospect of Achieving the Overall Project Goals

A revised and updated risk assessment matrix, displaying the basic ranking at the time of bidding and the current status as per ground realities, is presented below. It also gives a brief explanation for the post-mitigation scenario.

Event	Risk Ranking		Mitigation Measures	Risk after Mitigation	Remarks
	Original	Current			
Denied access to specific Project locations due to security reasons.	High	Very High	- Constant vigilance. - Close liaison with civil/military officials, RMO, and on-site tehsil administration. - Processing all the legal required documentation (NOC) proactively prior to site visits.	Very High	During recent times, security has gone from bad to worst. Exodus of locals has increased. No immediate signs of any settlements.
Kidnap for ransom or political purposes.	Medium	Very High	- Secure accommodation and office. - Site- specific security assessment. - Presence of security guards. - Avoiding night travel. - Proactive communication with stakeholders and administration officials.	Very High	Kidnappings for ransom have drastically increased. Cases have been reported in the broad day-light from motorway section within the KP. Perhaps, it has become the major source of funds generation by the militants.
Improvised explosive device (IED) near to travel route or workplace, either vehicle borne or planted.	High	Very High	- Secure accommodation and office. - Usage of security equipment, razor wire fence and CCTV system. - Expats must use armoured vehicles and escort. - Adhering to district police and RMO's advice	Very High	Increased insurgency has proportionately brought a higher surge in IEDs cases, resulting in considerable number of damages and deaths.
Sectarian violence and tribal dispute	High	High	- Proactive site assessment. - Communication with local authorities and community people. - Avoid areas of dispute. - Stay neutral during community meetings.	Medium	In DI Khan three tehsils are known for a varying degree of sectarian violences, i.e. DI Khan, Paharpur and Parova. <i>Shia – Sunni</i> rift is a simmering issue for the past nearly three decades.

			• Avoid political and religious discussions. • Secure accommodation and office.		
Small firearms.	Medium	Medium	• Secure accommodation and office. • Armoured vehicles for expats.	Medium	Pathan population is known for being trigger happy. Firing is also done at occasions of happiness, like marriages. At occasions, stray bullets have also caused deaths.
Thefts.	Medium	Medium	• Secure accommodation and office. • Adhering to district police. • RMO advice.	Medium	DI Khan has become an undeclared IDPs camp. Theft cases have increased due to new in-migrants from unsettled areas of militancy.
Natural disasters – flash rain storms and subsequent floodings and landslides, wind/dust storms, and earthquakes, etc.	Medium	Medium	• Check forecasts from Pakistan Meteorological Department and the National Disaster Management Authority website. • Stay indoor during wind storms. • Check news reports. • Be aware of the risk of road blockages, particularly in mountainous regions.	Medium	Project corridor is located in sub-tropical sandy desert, Thal, which is known for ferocious summer wind storms. It may cause severe damages.
COVID-19 & Infections; in- jury or disease from environ- mental contamination	Low	Medium	• Personal hygiene. • All the precautionary measures. • Wearing face masks all the time. • Social distancing. • Washing hands, using hand sanitizers etc. • In case of doubts, COVID-19 infection tests. • Vaccinations.	Medium	Due to poor sanitation, there are a lot of water ponds. Hence, reemergence of COVID-19 infection, malaria and/or dengue fever cannot be ruled out.

10. Outlook and Recommendations

The following key activities are planned for the upcoming quarter. Each activity is briefly outlined below.

10.1. Context and Physical Assessment

The planning for the physical assessment took place in December and January together with the experts

As per the original plan, this activity was to be preceded by the Context and Physical Assessment. However, due to administrative and security constraints, the physical assessment could not be initiated as scheduled. To avoid delays, the team commenced work on the Context and Institutional Assessment instead.

A comprehensive checklist and questionnaire were developed and pre-tested before being finalized. As per plan, by the beginning of next quarter, fieldwork will commence by in February 2025, with the team engaging all relevant stakeholders. Due to approaching month of Ramadan, falling in March 2025, all efforts will be made to conclude the fieldwork in February, the draft report to be concluded in March 2025.

10.2. Coordination with Experts

Following an extensive virtual coordination meeting involving 19 national and international experts, all participants have individually been contacted. These experts have been categorized into three groups of national experts, (i) water supply, (ii) wastewater and (iii) solid waste management. Because of security reasons, the international experts will not be able to join. However, their remote inputs will be available, and they will remain in touch with the national experts.

Each group has been provided with guidelines and relevant excerpts from the bid-winning proposal document to facilitate informed discussions. Given the prevailing security conditions, international experts are unlikely to visit the project corridor. As a result, fieldwork responsibilities will primarily fall on national experts. Through virtual meetings, international experts will provide guidance and oversight to their national counterparts.

Additionally, due to the inaccessibility of five tehsils, even national experts may face challenges in conducting on-site visits. Consequently, alternative methodologies for remote data collection and engagement will need to be devised and discussed.

10.3. Hiring of CSO

Given the dynamic security situation, maintaining strong coordination with all stakeholders is essential for the project's success. The ICs have been effectively engaging with government stakeholders, including district administrations, Additional Directors of Local Government Elections and Rural Development Department (LGERDD), Tehsil Municipal Administrations (TMAs), and other relevant authorities. However, engagement with local communities remains limited. To address this gap, the immediate hiring of a CSO is imperative. The CSO will play a crucial role in facilitating community engagement, ensuring their active participation in project activities. Given the circumstances, expediting this process will be beneficial for achieving the project's objectives effectively.

Draft ToRs for hiring the CSO have been submitted, which are likely to be submitted to PMU and KfW shortly.

11. Annexes

Annex 1 Letter of Introduction and Invitation Bannu

Annex 2 Kick off Meeting Planned Schedule

Annex 3 List of Invitees - Bannu

Annex 4 List of Attendees - Bannu

Annex 5 Photo Documentation Kick off Meeting Bannu

Annex 6 Details of Discussion

Annex 7 Physical Assessment Questionnaire

Annex 8 PD's notification by GoKP

Annex 9 Minutes of PD's Meeting with DI

Annex 1

Letter of Introduction and Invitation Bannu



06 January 2025

To,
The Deputy Commissioner
Bannu

Subject: Kick-Off Meeting of RIF II

Dear Madam/Sir,

I take this opportunity to apprise you with pleasure that as per the bilateral agreement with the Government of Khyber Pakhtunkhwa, the KfW funded "Regional Infrastructure Fund II (RIF II)" for Resilient Resource Management in Cities (RRMiC) has commenced its working from 01 August 2024. RIF II will be working in two districts, DI Khan and Bannu. The team of the Implementation Consultant has established their main office at DI Khan. By now, we are in the process of establishing a sub-office at Bannu, and have started beginning our initial contacts with the key stakeholders.

It is in this context that I am inviting you for a kick-off meeting to be held at Bacha Khan Hall on 08 January 2025 at 10:30 AM. It will be a formal inauguration of RIF II at Bannu, where the participants would be briefed about salient features of the project, its approach, delivery modalities and community participation. Through this interactive briefing session, the team will also be answering your questions, listen to your concerns and will also take down your valuable suggestions. We have tried our best to invite the maximum number of stakeholders from all the four TMAs included in this project, along with the officials of District Administration and PHED.

Detailed program of the intended briefing session is attached for your information please. I do hope that you will be kind and considerate to honor our request for this briefing session of significant importance for Bannu.

Your sincerely,

M. Ayaz Khan
International Team Leader
RIF – II Project

Implementation Consultant:



CYNOSURE

As Sub-Consultant:



Annex 2

Kick-off Meeting – Planned Schedule

**“Regional Infrastructure Fund II (RIF II)” for Resilient Resource Management
in Cities
BMZ No. 2018 68 355**



RIF II Kick-Off Meeting Program, Bannu

Venue: Bacha Khan Hall

08 January 2025

Time		Activity	By	Remarks
From	To			
10:15	10:30	Arrival of guests and registration		
10:30	10:35	Welcome to all the participants	Moderator	
10:35	10:40	Recitation from Holy Quran	Anyone	
10:40	11:00	Self-Introduction of the participants		
11:00	11:15	RIF – II vis-à-vis Sustainable Development Goals	PD AHT	
10:15	11:35	Tea break		
11:35	12:00	RIF II presentation, explaining salient features, geographical orbit and implementation modalities	Team Leader	
12:00	13:00	Questions / answers		
13:00	13:15	Closing remarks by: • KfW • Deputy Commissioner		
13:15	13:20	Note of thanks	AHT	
13:20	14:20	Lunch and dispersal		

Implementation Consultant:



Dorsch Impact



CYNOSURE

As Sub-Consultant:



Annex 3

List of Invitees – Bannu

#	Designation	Appointment	#	Remarks
1	P&DD / PMU / UPU		1	
2	Deputy Commissioner	Distt: Administrator	1	
	Adl: Dy: Commissioner	Distt: Administrator	1	
3	DPO	Distt: Police Head	1	
	DPO Focal Person		1	
4	SE PHED	Divisional Head of PHED	1	
5	XEN PHED	Distt: Head of PHED	1	
6	SDOs PHED	Tehsil Heads of PHED	2	
7	AD LGE&RDD		1	
8	TMOs	Tehsil Heads of TMAs	4	
9	Assistant Commissioners (ACs)	Tehsil Administrators	4	
10	Dy: Superintendents of Police (DSPs)	Tehsil Police Heads	4	
11	TMA Sub-Engineers		4	
12	WSSC Bannu		1	

Annex 4

List of Attendees – Bannu



Regional Infrastructure Fund II (RIF II)
Attendance Sheet- Kick-Off Meeting, District Bannu
Date: - January 08, 2025

Sr.#	Name	Designation	Department	Contact Number	E-mail	Signature
1	S. NDIWA AL SHAH AL Bannu		District Admin	0333-3538252	Syedabirah 434@gmail.com	[Signature]
2	KHAYAM NASIR	AC. Wazir Bannu	District Admin.	0304.9926568	khayamnassir2050@gmail.com	[Signature]
3	Mehran Ullah	TOF TMA Wazir	TMA Wazir	0332-973835	mehran.ullah76@gmail.com	[Signature]
4	Rahmatullah	PHED		0335-1931910		[Signature]
5	Zaidatullah	TMA	TMA Domel/Kakki	03455946611		[Signature]
6	Umer Farooq Khan	AD	LG	0345-9841206		[Signature]
7	Ayaz Khan	TL	RIF-II	0300-816102		[Signature]
8	BAKHT NIGZ	Deputy Manager	WSSC	0300 8951680	niazuet@gmail.com	[Signature]
9	Saberoon	Inspector	WSSC	0334-8826914		[Signature]
10	Ajmal Khan	TMO	TMA Bakka	0332 9727848		[Signature]
11	Asmatullah Khan	TOF	TMA Bakka	0332-9757995	asmatullah1000@gmail.com	[Signature]
12	Razaullah	DSPIHQ	POLICE	0333 9990707		[Signature]
13	Fazidullah	AAC Kakki	AC Office	03009048888		[Signature]
14	Naveedullah Khan	Sr. Engineer	TMA Bakka	03329749765		[Signature]
15	ANWAR ALI	Tekst officer	TMA Domel	03469506803	anwaraliwazir1@gmail.com	[Signature]
16	Hazrat Umar	TOI	TMA Domel	0335528028 03029245288	umayyad2027@gmail.com	[Signature]
17	Nasimullah	TOI	TMA KAKKI	0333-7737736	nasimullah465@gmail.com	[Signature]
18	Wazir Ali Shah	Accountant	TMA Bakka	03339733629	wazirbannu@gmail.com	[Signature]
19	Zakirullah	TOF Kakki	TMA KAKKI	0306-1616658	zakirwazir717@gmail.com	[Signature]
20	Asad Muneez	Sub Engr	TMA Domel	0334-9298166	asadwazir58@gmail.com	[Signature]
21	M. Osama	ASSISTANT	TMA Domel	03149875603	UK19693008.M.23@gmail.com	[Signature]
22	M. Safiullah Khan	S.D.O	P.H.E.D	0333-9741145	onjafikhan@gmail.com	[Signature]
23	Arif Khan	Security Manager	AHT	0336-4991199	arifkhan1@gmail.com	[Signature]
24	Hamdan Bagash	Finance Officer	Cynosure	0331-9844479	hamdanbagash@gmail.com	[Signature]
25	Nasirullah Khan	Co. coordinator	Dorsch Impact	0300-9560660	knasirullah65@gmail.com	[Signature]
26	Qadretullah	Sub-Eng	TMA SDW	0333-5038994		[Signature]
27	Gul Nazir	Sanitary Supervisor	TMA KAKKI	0306-1616652		[Signature]
28	Fazirullah	TMO	TMA SDW	0336-9669023		[Signature]
29	Arifullah	ATOR	TMA Domel			[Signature]

Annex 5

Photo Documentation of Kick-Off Meeting – Bannu

Photo Documentation of Kick-Off Meeting



Photo 1: Workshop Proceedings



Photo 2: Presentation to the Audience



Photo 3: Presentation to the Audience



Photo 4: Attentive Audience



Photo 5: Consultative Discussions Amongst Audience



Photo 6: Question Answer Session



Photo 7: Question Answer Session

Annex 6

Details of Discussion

#	Questions	Answers
1	Who is responsible to resolve the concerns related to hiring of PD?	Ownership of RIF – II Project rests with the GoKP. Hence, it is their responsibility to address such matters.
2	How funding details of this Project can be accessed?	Comprehensive funding details are well reflected in PC-I, which has formally been approved by KfW and GoKP.
3	The project is being implemented in four tehsils, excluding Bannu Tehsil. What is the rationale behind this exclusion?	Bannu Tehsil is being dealt with by ADB funded KP-CIP ¹ , which is already operational in Bannu Tehsil. To prevent duplication of efforts and optimize resource allocation, Bannu Tehsil has been excluded from the scope of RIF-II.
4	What constitutes secondary data and what are its primary sources?	Secondary data comprises upon records of previously executed projects and schemes, which are systematically maintained by the relevant implementing departments.
5	What methodology is employed for data collection in security-sensitive tehsils?	In high-risk areas of the entire corridor, a remote working approach is adopted. Under this strategy, the concerned TMA staff from these tehsils convene at the office of Regional Municipality Officer (RMO) for data compilation and coordination. RMO has played the role of a facilitator for such like data collection efforts.
6	When is the inception phase expected to conclude and what key processes will be undertaken during this period?	The inception phase is spanned over a period of nine months, concluding towards the end of April 2025. This phase will encompass institutional, financial and physical assessments of all stakeholders to ensure a structured and efficient project rollout.
7	What does tariff collection entail and which entity is responsible for its execution?	Tariff collection refers to the process of gathering facility usage fees from consumers. The relevant departments, such as PHED in the case of water bills, is responsible for administering this collection.
8	What mechanism will be employed for tariff collection?	The CSO will lead awareness campaigns emphasizing the importance of safe drinking water and hygiene. The RIF project will introduce interventions to enhance the sustainability of these facilities, with a strong focus on the role of tariffs in maintaining such like schemes. The CSO will work on fostering behavioral change, raising public awareness and instilling a sense of responsibility within the local communities.
9	To what extent can political influence impact project quality and could it potentially hinder implementation?	Political influence factor is a reality and it cannot be disregarded. Local politicians may exert control over project proceedings for enhancing their vote bank. However, a well-devised mitigation strategy will be implemented to minimize its negative impacts and ensure adherence to project specific modalities, specifications and standards.
10	What type of collaboration is expected between the project and various departments during implementation?	RIF-II will be executed through a highly coordinated approach, ensuring seamless collaboration among key stakeholders, including district administration, PHED, TMAs, and local community. This partnership will extend from project inception, right up to final completion.
11	Who is responsible for selecting and hiring CSOs or NGOs for this project?	The selection and hiring of CSOs or NGOs for community mobilization and engagement will be undertaken by PMU in coordination with KfW. The ICs are only responsible for writing their ToRs.
12	What is the procurement bidding process for contractors?	KfW will define the procurement criteria. Local contractors will be eligible to participate in bidding process, provided they meet the pre-established criteria set forth by KfW.

¹ CIP (City improvement Project)

13	How many consulting partners are involved in this project, and what are their respective roles?	The project involves four consulting partners: • Dorsch Impact serves as the lead consultant, overseeing the project management, its execution and coordination with all the consortium partners. • NEC is responsible for engineering and technical aspects of the project. • Cynosure manages the soft components, focusing on community engagement, accounts / finance matters and institutional capacity-building. • Borda is a well-reputed name in decentralized sewage systems and shall be responsible for the same.
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Annex 7

Physical Assessment Questionnaire

Data Collection Performa for Water Supply and Sanitation

Description		Data	Remarks
District			
Tehsil			
Tehsil Town name			
Tehsil Town centroid latitude			
Tehsil Town centroid longitude			
Population	As per census of 2023		
No. of Households (Nos)			
Annual Growth Rate	As per census of 2023		
Tehsil Town Boundary Map	From Tehsil Town Office		
Latest Tehsil Town Map	From Tehsil Town Office		
Taste of Drinking Water	☐ Sweet ☐ Brackish ☐ Aesthetics (Color of water)		
Prevailing Diseases if any	Any waterborne diseases		
Tehsil Town is very close to branch or main canals (distance ≤ 2 km) (GIS)			
Tehsil Town is close to branch or main canals ($2 < \text{distance} \leq 5$ km) (GIS)			
Tehsil Town is relatively close to branch or main canals ($5 < \text{distance} \leq 10$ km) (GIS)			
Tehsil Town is very close to distributary or Minor canals (distance ≤ 2 km) (GIS)			
Tehsil Town is close to distributary or Minor canals ($2 < \text{distance} \leq 5$ km) (GIS)			
Tehsil Town is relatively close to distributary or minor canal ($5 < \text{distance} \leq 10$ km) (GIS)			
Discharge of the main Canal/Distributary (major/minor)			
Type of the Canal/Distributary (major/minor)	☐ Lined ☐ Unlined		
Electricity availability	☐ Available ☐ Not Available		

Description		Data	Remarks
Provision of 11KVA electricity unit (km)			
Type of roads/streets in the Tehsil Town	☐ Metalled ☐ PCC ☐ Soling ☐ Kaccha		
Water supply System	☐ Available ☐ Not Available		
If exist	Service Area		
	Serving Population		
	No. of Tube wells (Functional+ Not Functional)	☐ Functional ☐ Not Functional	
	Location of each Tube Well	☐ Coordinates of each Tube Well	
	Capacity of each Tube Well	☐ In Cusecs	
	Depth of each Tube Well	☐ In feet	
	Bore Size	☐ In Inches	
	Tube Well Pumps	☐ Functional ☐ Not Functional	
	Number of Pumps		
	Year of Installation		
	Type of Pumps		
	Capacity and Head of Pumps		
	Pumps kW		
	Size of Delivery Pipe and Pumping Main	In Inches	
	Material of Delivery Pipe and Pumping Main		
	Operations of Pumps	in 24 hrs.	
	Billing Detail		
	Water Distribution System Exists	☐ Yes ☐ No	
	Age of Piping Network	Including pumping main and distribution lines	
	If exist then length of network (km) and size	Including pumping main and distribution lines	
Material of Piping Network	Including pumping main and distribution lines		

Description			Data	Remarks
	Overhead Reservoir (if exists)	☐ Functional ☐ Not Functional		
	Location of OHR	Coordinates		
	Year of Construction			
	Volume of OHR	In cubic feet or Imperial Gallons		
	Condition of OHR	Visual Basis		
	Any Water Treatment (if yes)	☐ Functional ☐ Not Functional ☐ Type of treatment scheme ☐ Capacity of treatment scheme		
	Water Quality Testing Reports			
Sewerage System		☐ Exist ☐ Not Exist		
If exist	Type of Sanitary System	☐ Sanitary Network ☐ Open Drains		
	Any disposal stations/ Pumping points	☐ Functional ☐ Not functional		
	Land for final disposal station	☐ Available ☐ Not Available		
	Any Sewage Treatment If Yes	☐ Functional ☐ Not Functional ☐ Type of Treatment Scheme		
Any Ongoing development scheme in the respective tehsil town		☐ Yes ☐ No		
Is this Tehsil Town Flood Affected in the last 10 years		☐ Yes ☐ No		
Operation and Maintenance System (Water Supply + Sewerage)		☐ Available ☐ Not Available		
If Available		Billing Detail		
Pictures of the Tehsil Town (Drains+ Water Supply+ Sewerage)		(With coordinates shown in the picture)		
Willingness to Pay for Water Supply and Sanitation Scheme		☐ Yes ☐ No		

Note: After receiving the above data from the field, planning will commence for the concept design of the water supply and sanitation schemes. During the planning stage, various pertinent surveys will be conducted, such as topographical surveys of the area, subsoil investigations, electrical resistivity surveys (ERS), capacity analysis (pump-out tests), water quality testing, or any other required surveys.

Data Collection Performa for Solid waste management

1. Part-I: General information

General Information regarding project site				
Description		Data	Source	Remarks
District				
Tehsil				
Tehsil Town name				
Tehsil Town centroid latitude				
Tehsil Town centroid longitude				
Population	As per census of 2023			
No. of Households (Nos)				
Average Household size				
Annual Growth Rate	As per census of 2023			
Type of roads/streets in the Tehsil Town	☐ Metalled ☐ PCC ☐ Soling ☐ Kaccha			
Background documents				
Tehsil Town Boundary Map	From Tehsil Town Office			
Latest Tehsil Town Map	From Tehsil Town Office			
SWM masterplan				
Waste audit study (composition and waste stream analysis)	If conducted in the past 2 years?			
Daily & monthly SWM record	Including trips and tonnage record			

Part-2: Assessment of current SWM

Description		Data	Source	Remarks
Waste generation				
Major Sources of MSW	☐ Residential ☐ Commercial ☐ Institutional/ Offices ☐ Fruit & Veg. Markets			

Description		Data	Source	Remarks
	☐ Dairy farms ☐ C& D waste			
Per capita waste generation rate (kg/cap/day)	Current rate or any previous study in last 2 years?			
Total waste generation rate (tons/day)	Current rate or any previous study in last 2 years?			
Waste Handling (WH)				
Formal household segregation in practice	☐ Yes ☐ No			
Informal segregation of valuable items by households	☐ Yes ☐ No			
What kind of container use by the community for WH (Approx %age)	☐ Waste bin ☐ A bucket ☐ Polyethene bags			
Did the community bring waste to CP or container?	☐ Yes ☐ No			
Is improper disposal by community is common	☐ Yes ☐ No			
Other than CP, where commonly they dispose waste	☐ Open plots ☐ Drains ☐ Roads/ Streets			
SWM- Waste Collection & Transportation				
Who is doing waste collection?	☐ TMA ☐ Outsourced			
Collection frequency	☐ Daily ☐ Alternate day ☐ Twice a week ☐ weekly			
Collection time	☐ Morning-Noon ☐ Afternoon-Evening ☐ Night shift			
Vehicle using for primary collection	☐ Tri wheel cycle ☐ Mini tippers ☐ Bike loaders			
Vehicle using for Secondary collection	☐ Tractor trolley ☐ Compactors ☐ Arm rolls			
Provide list of machinery	Details of all type of SWM available machinery/ containers			

Description		Data	Source	Remarks
Provide details of SWM staff	Complete list of staff including Supervisory Staff, Drivers, Helpers/ fillers, Sweepers and drain cleaners			
Mode of collection	☐ Static- container based ☐ Fixed CP (Brick Masonry) ☐ Movable- DtD or lifting from CP by manual loading ☐ Mixed/ Combined	/		
Condition of containers	☐ New/ Okay ☐ Damaged/ rusted ☐ Partially damaged			
Condition of brick masonry CPs	☐ New/ Okay ☐ Partially damaged ☐ Damaged/ broken			
Type of collection	☐ Primary ☐ Secondary ☐ Mixed			
Daily collection efficiency?	☐ Tons/day vs total generation/day			
	☐ % of total generation/day			
	☐ Monthly collection efficiency in %			
Waste Processing				
Who is involved in waste diversion (reuse, recycling, composting etc.)	☐ Formal Sector ☐ Informal sector			
Do you (TMA) have any waste processing facility/ unit	☐ It includes MRF, recycling unit, compost facility			
If the informal sector is active in waste diversion,	then what is their daily capacity for recovery of valuable items (tons/day or kgs/day)			
Where the scavenger is searching for valuable items?	☐ Buy from households ☐ At containers and CPs At DS			

Description		Data	Source	Remarks
Main items the scavengers searching for?	☐ Metal ☐ Plastic (PVC, HDPE, PET) ☐ Paper & cardboard ☐ Glass ☐ Textile Food, Vegetable/ Fruit			
Where are the recycling industries located	At district level, tehsil, or faraway			
Type of recycling industries	☐ Only process raw material ☐ Complete recycling unit ☐ Both			
Waste Disposal/ Dumping Site				
Waste treatment/ disposal method	☐ Open dumping ☐ Landfilling Incineration			
Type of waste dumping site (DS)	☐ Sanitary landfill Unsanitary landfilling			
Ownership of DS	☐ TMA Land ☐ Private land Any other			
How the land has been hired	☐ Rented Based on mutual benefit			
Any written agreement between TMA and land owner				
Capacity of the DS/ Land (plot size in ft ² , and volume in m ³)				
Current Condition of site	☐ Open dumping without soil cover ☐ Applying soil cover			
Average distance (km) of DS from center of tehsil				
Distance (km) from residential areas				
Distance (km) from nearest water body (river/stream/ canal)				
Willingness to pay, Conservancy Charges/Tariff				
Do you (TMA) charge for SWM	☐ Yes ☐ No			

Description		Data	Source	Remarks
If yes, who do you charge	☐ Households ☐ Commercial entities ☐ Others			
Current tariff/ Charges for SWM (Rs.)?				
Current recovery rate in %age?				
Average recovery/ month (Rs)				
What is the current ratio of WTP of public (in %age)				
Provide record related to above				
Trainings & Awareness Activities				
Details of Awareness and community engagement in waste handling?				
Training/ Workshops on waste handling to community?				
Community Involvement in SWM Activities?				
TMA staff Training on SWM?	If staff get any training, give details			
Type of Training?	☐ Overall SWM Operations ☐ Waste handling and processing ☐ Fleet management ☐ Record keeping/ Data management			
Training on Health & safety	Did staff been trained on HS measures & use of PPEs in SWM			
Budget for SWM				
Annual budget for SWM (Rs. millions)				
Cost/ ton of solid waste				

Annex 8

PD's Notification by GoKP



**GOVERNMENT OF KHYBER PAKHTUNKHWA
PLANNING & DEVELOPMENT DEPARTMENT**

Dated Peshawar, January 13, 2025.

NOTIFICATION:

NO.SO(E)P&D/RIF/UPPU/2024: In pursuance of the recommendations of Provincial Project Selection Committee meeting, held on 10-12-2024 and in light of Establishment Department Notification, dated 06-01-2025, **Muhammad Saleh** (PMS BS-19), awaiting posting in P&D Department, is hereby transferred and posted as Project Director, "Regional Infrastructure Fund-II" in Khyber Pakhtunkhwa for Improving Resilient Resource Management in Cities (RRMIC), on deputation basis, with immediate effect in best public interest, by relieving Mr. Adnan Farid (PAS BS-18), Additional Secretary (Admin), P&D Department from the additional charge of the post.

**ADDITIONAL CHIEF SECRETARY
P&D DEPARTMENT**

ENDST: NO. & DATE EVEN.

Copy forwarded to the:

1. Accountant General, Khyber Pakhtunkhwa.
2. Executive Director, UPU, P&D Department.
3. Project Director, Regional Infrastructure Fund-II, in Khyber Pakhtunkhwa for Improving Resilient Resource Management in Cities (RRMIC), UPU, P&D Department.
4. Section Officer (E I), Establishment Department w/r to his notification, referred to above.
5. PS to Additional Chief Secretary, P&D Department.
6. PS to Secretary, Establishment Department.
7. PS to Secretary, P&D Department.
8. PS to Special Secretary, P&D Department.
9. PAs to Additional Secretary (Admin)/Chief Economist, P&D Department.
10. PA to Deputy Secretary (Estt.), P&D Department.
11. Officers concerned.

(AKHLAQ AHMAD)
SECTION OFFICER (ESTT:)

Annex 9

Minutes of PD's Meeting with the Consultant (DI)



Consulting Services for Regional Infrastructure Project II (RIF II)
in Bannu and DI Khan Districts, KP, Pakistan

MINUTES OF MEETING

Project Director (PD) and Implementation Consultants, Regional Infrastructure Fund (RIF – II)-Dorsch Impact, Essen, Germany

PLACE/ DATE/ TIME:

Location	Date	Time
Islamabad	24 January 2025	10:00 AM

PARTICIPANTS:

Name	Affiliation
Mr. Muhammad Saleh	UPU – Project Director (PD) – Regional Infrastructure Fund (RIF – II)
Mr. M. Ali Shah	UPU – Senior Finance Officer (SFO)
Mr. Ulrich Sammet	Dorsch Impacts – Project Director
Ms. Aigul Beishekeeva	Dorsch Impacts-Project Financial Controller (PFC)
Mr. Ayaz Khan	Dorsch Impacts – TL RIF - II
Mr. Hamdan Bangash	Cynosure Consultants – National Accountant RIF – II
Mr. Salahuddin Ahmad	Cynosure Consultants – National Accountant RRM Project Mansehra

DELIBERATIONS:

Topic	Questions / observations	Discussed
Commencement	The PD, Dorsch Impacts warmly welcomed the PD and other guests from UPU.	The meeting began with self-introduction of the participants. The agenda items provided by the UPU were discussed in detail. Later on, the PD - Dorsch Impacts made a brief presentation of the project.
Points to be discussed		1. PD's orientation to Project activities: - Brief summary of project status, including key milestones and achievements. - Update on tasks and activities planned for the upcoming period. - Review of challenges / risks identified in the project's progress and proposed solutions. - Identification of support or resources required from PD for successful implementation. - Overview of key personnel involved in the project and their respective roles and responsibilities. - Agreement on any adjustments or changes in the project approach if needed. 2. Draft Workplan for approval from Project Steering Committee: - Detailed walkthrough of the draft workplan, outlining specific activities, timelines, and resources required. - Clarification of any outstanding concerns or questions related to the draft workplan. - Assessment of the workplan's alignment with overall project goals, budget, and timeline.



Consulting Services for Regional Infrastructure Project II (RIF II)
in Bannu and DI Khan Districts, KP, Pakistan

Topic	Questions / observations	Discussed
		- Proposal for next steps to finalize the workplan, including review process and timing for approval. - Confirmation of any final adjustments to the workplan before submission to the Project Steering Committee. - Identification of key decision-makers and their role in the approval process 3. CSO's Engagement Procedure: - Clarification of the process for selecting CSOs, including criteria and methods for collaboration. - Addressing any legal, regulatory, or logistical requirements for working with CSOs within the project framework. - Agreement on the communication and reporting channels between the project team and CSOs. - Discussion on the monitoring and evaluation mechanisms to assess CSO engagement and impact. - Define timelines and key deliverables related to CSO engagement in the project. 4. Procurement Plan: - Overview of the procurement strategy and process for the project, including timelines and responsible parties. - Detailed review of the procurement plan, highlighting key activities, expected deliverables, and budget allocation. - Discussion on any potential challenges or risks related to procurement, including vendor selection, contract management, and supply chain considerations. - Clarification of any legal or regulatory requirements for procurement within the project context. - Identification of any specific procurement items or services that require immediate attention or approval. 5. Financial Forecast and Audit Discussion: - Financial forecast presentation, including updated projections for project spending, resource allocation, and budget adjustments. - Review of actual financial performance to date, identifying any variances from the initial



Consulting Services for Regional Infrastructure Project II (RIF II)
in Bannu and DI Khan Districts, KP, Pakistan

Topic	Questions / observations	Discussed
		budget and discussing reasons for these differences. • Discussion on financial risks and mitigation strategies, ensuring that the project remains within budgetary limits. • Review of compliance with financial reporting standards, including any updates on reporting mechanisms or requirements from external stakeholders. • Discussion on financial transparency and accountability processes, ensuring the project maintains proper oversight and documentation. • Agreement on the frequency of financial reporting and updates, and any actions needed to improve financial management.
RIF – II Presentation		Mr. Sammet made a brief presentation to the PD, explaining the entire Project cycle but focusing on the inception phase. The presentation also indicated up to date Project progress. The main discussion points of the presentation were outlined as follows: • Original work plans. • Delayed activities. • Re-adjusted workplans. • On-going work and related activities. • Future plans.
Question and Answer Session	During the Q&A session, both the UPU team and the consultant team posed various questions and shared their observations about the project, which are listed as follows: 1. The Project Director commented that the inception phase is spanning over nine months, <u>till 25 April 2025</u>. However, the senior management of P&DD expressed a desire for it to be completed sooner. If the inception report is submitted timely, UPU can direct the DCs for land acquisition. 2. PD expressed his concerns regarding the lack of knowledge about	1. The Consultants indicated that the project is being implemented under constantly oscillating security conditions, which is impacting the work in a number of ways. Hence, it is apprehended that the inception phase may be extended further. Because of several variables, at this stage it is difficult to spell out any target date of completion. However, the Consultant will make concerted efforts for a pre-inception report in June 2025. 2. The Consultant pointed out that in practical terms there was no active PD since the start of RIF – II. The TL visited UPU for a number of times and he is often asked by UPU for



Consulting Services for Regional Infrastructure Project II (RIF II)
in Bannu and DI Khan Districts, KP, Pakistan

Topic	Questions / observations	Discussed
	the project's progress, particularly in inaccessible tehsils and the absence of communication with UPU. 3. PD desired a presentation to the Executive Director, providing an update on the project's status. 4. PD asked for following documents: • KfW ToRs. • RIF II proposal, Dorsch Impacts. • Contract document of Dorsch Impacts. 5. PD also desired for a copy of the indicated KfW minutes. 6. PD was interested to know about the mechanism that would be adopted in case of any agitation from the local community. 7. PD also desired a proper communication channel. 8. PD asked, why Miryan Tehsil of Bannu has not been included in RIF – II?	account's statements and other information. Hence, there is a live contact between the consultant and the UPU. RIF – II generates quarterly progress reports, which will be shared with the UPU upon completion. 3. Consultant's assured him that his desire will be honoured. In addition, it was suggested by the Consultant that for a better Project understanding, the PD is encouraged to visit the site and spend some time with the consultant team, at his earliest convenience. 4. The Consultant promised to send these documents shortly. He was apprised that hard copy of the original contract was handed over to UPU by KfW Islamabad on 9 Jul 2024 during 1st introductory meeting of RIF - II. It stands well reflected in their minutes, too. 5. As per Consultant's commitments, the desired minutes are attached as an Annex "A" to these minutes. 6. Taking local elders on board. In case any agitation comes from the local community, the elder will play their role. Involving the local community in awareness campaigns. 7. It was agreed that now the project has a full-time PD, there will be fortnight or monthly progress meetings between the stakeholders. 8. Consultants responded that it was stated like this in the ToR and had been already decided before the consultant was on board, probably by KfW in consultation with GoKP.
Finance, RRM Mansehra	1. SFO asked for withholding taxes, which are paid by UPU. It should be paid by KfW.	1. Consultants advised for discussing it with KfW. If they agree, it could be done accordingly.



Consulting Services for Regional Infrastructure Project II (RIF II)
in Bannu and DI Khan Districts, KP, Pakistan

Topic	Questions / observations	Discussed
Disposition Fund RIF II	2. SFO also asked for paying project allowances to UPU staff from contingency funds. 3. SFO inquired about timely payment of salaries from disposition fund. 4. SFO informed that the local account for the Disposition Fund was opened.	2. The Consultants referred to the PC1 in which the distribution of funding sources is clearly defined. In case of any demand for adjustment, it is advised for discussing it with KfW. 3. The Consultant responded that releases from disposition fund are contingent upon the preparation of the procurement plan and its subsequent approval by KfW and for the salaries the contracts and KfW no-objection for the PMU staff is required. 4. As soon as the procurement plan will be approved, the first disbursement request can be sent to KfW. After receiving the requested amount, payments can be made through the local account. The Consultant will prepare a guide for the procedures of joint management of the Disposition Fund
PMU	Consultants asked for expediting the process of PMU establishment.	PD assured that process of recruiting for three professionals is being commenced very soon.
Summary		1. For the future, fortnightly or monthly progress meetings are envisaged for the updates on progress and project status. 2. The quarterly report should be submitted until end of Jan 25. 3. The procurement plan should be submitted until end of Jan 25. 4. The budget for the UPU staff and running cost shall be clarified between UPU and KfW 5. The withholding tax for the payments should be clarified.
Closing Note		The meeting was concluded on a positive note, emphasizing the need for collaborative approaches between the Project Director and the project implementation team. It was deemed essential that both parties cooperate and closely work together to achieve the project's objectives within the allocated budget and timeframe. The Project Director's efforts to travel to Islamabad for the meeting with the Dorsch Impact team were greatly appreciated. Additionally, the Project Director expressed gratitude to the consultants for their informative briefing and warm welcome.



Consulting Services for Regional Infrastructure Project II (RIF II)
in Bannu and DI Khan Districts, KP, Pakistan

Annexure – “A”

Minutes of KfW Meeting

From: Imran.Khan@kfw.de <Imran.Khan@kfw.de>
Sent: Wednesday, July 10, 2024 11:21 AM
To: adnansalim92@gmail.com; awkhan27@gmail.com; edupukp@gmail.com;
Lena.Pohl@kfw.de; Ulrich.Sammet@eht-group.com; khan.ayaz99@gmail.com
Cc: nora.goetzinger-henschke@kfw.de
Subject: RIF-II RRM-Mansehra progress review 9 July 2024 - minutes

Dear colleagues

Thank you for joining us for a progress review of two KfW projects – RRM Mansehra and RIF-II.

All the meeting participants appreciated and welcome the initiative by Mr. Iftikhar Ahmad, executive director Urban Policy Unit. It was agreed that all stakeholders shall meet periodically with KfW and UPU hosting the meetings alternatively. The participants however also emphasized the need for a clear agenda for such progress review meetings.

A quick read out, including key decisions and suggestions, of the meeting is as follows:

1. UPU will extend support with the RRM-Mansehra land acquisition. Taking possession of land following the compensation for existing landowners is a necessary step implementing infrastructure measures. Mr. Khan (ED UPU) would pursue the issue with Deputy Commissioner (Mansehra). AHT expected completion of project measures by June 2025 if project sites were made available timely.
2. Mr. Adnan Salim was proposed as a successor for Mr. Waheed Khan who is retiring in December 2024. Mr. Khan was also recently promoted (BPS-19), but not notified yet. UPU may seek KfW's support in making a strong case for Mr. Salim's appointment as RRM-Mansehra PD (another additional charge).
3. UPU endorsed the no-cost extension of RRM-Mansehra until 30 June 2025 and will lend support with the amendment of the AHT Consultant Services contract (lapsed in October 2023). This shall be prioritized while Mr. Khan remain as a PD by September 2024. This was enable a seamless transition in case of management changes at UPU (RRM-Mansehra).
4. KfW handed over a duly signed RIF-II consultant services contract to UPU (Mr. Salim). The AHT-lead consortium RIF-II contract commences on 1 August 2024. AHT had been looking for a field office in Dera Ismail Khan (Mr. Sammet and Mr. Ayaz Khan visited the region). AHT sought UPU's support in this regard, including seeking a NOC from concerned Pakistani security agencies. UPU assured maximum assistance (including sharing guidelines regarding the procurement of an armored vehicle).



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5. The participants agreed on further consultations on (1) setting up of a PMU (UPU), (2) inducting PMU positions, (3) appointing Mr. Salim as full-time PD, and (4) sourcing / contracting a civil society organization.
6. UPU indicated that the PMU set up can be financed through the project contingency budget. Mr. Salim, who also leads the Urban Master Plan project, will have more capacity considering the anticipated project closure in December 2024. UPU will be seeking guidance and support from KfW regarding filling out the excerpt positions in PMU (seconding existing government officials or recruiting expertise from the open market).
7. The PC1 mentions SRSP and SABAWOON as potential CSOs for the RIF-II community mobilization component. The participants saw value in engaging one CSO for both project locations and in seeking proposals from both SRSP and SABAWOON.

A monthly trilateral exchange on RIF-II and RRM-Mansehra was considered as an option for improved coordination and collaboration on addressing issues. Mr. Iftikhar Khan emphasized the need for better planning building on the RRM-Mansehra experience.

I hope this note covers all the issues discussed during the meeting. If you think I missed something or misinterpreted some points, then please feel free to add or amend the note.

Welcome abroad, Ayaz Khan. We look forward to a more closer cooperation going forward.

Thank you with kind regards

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